Yale College
Foundations of Accounting & Valuation
ACCT 2700

Class Note: Business from the Ground Up

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Suppose we want to form an investment company (in the United States) that is going to invest solely in U.S. government bonds.

Important questions:

1. What are companies/organizations/business entities and why do they exist?

   A legal entity is organized under the laws of a state (in the U.S.). They are social constructions that allow the conduct of business activity to be separated from the personal affairs of their owners.

   This is crucial in empowering individuals to do business without placing the personal wealth of all the owners of the business in jeopardy. (Agency problems.)

2. What kinds of companies/organizations/entities are there?

   a. *Corporations* (C-corps) have the most separation from the personal affairs of their owners. Corporations themselves, and not their owners, are liable for their own debts (limited liability). An owner of a corporation holds *shares* of *common stock*. These carry voting rights in the governance of the corporation and are entitled to a portion of certain distributions of the corporation's assets, such as cash dividends and, if the corporation should go out of existence, the proceeds from any liquidation. Corporations are taxed when they earn profits. Then shareholders pay taxes on dividends they receive. This is, in a sense, double taxation of the payments to shareholders – once when the corporate entity is taxed and again when the individual is taxed.

   b. *Limited Liability Companies* (LLCs) allow their owners to avoid the double taxation of corporation while still enjoying some protection from personal liability.

   c. *Partnerships* are also free from double taxation, but their owners have more personal liability.

d. *Many others* with specific purposes, such as not-for-profits (like Yale), Limited Partnerships (LPs), Trusts, etc.

We will pretend to form a limited liability company, 165 Whitney Associates LLC (165WA) under the laws of Delaware. There would be an operating agreement for 165WA spelling out its rules – what it can do, what it cannot, who has what rights to make which decisions, etc. I will be authorized as the sole decision maker, each of 50 of us would contribute $1,000 each (pretend only, not real money), and 165WA will invest in U.S. government securities, the closest thing to a risk-free investment we could find.

We have applied for an EIN (that's like a Social Security Number for a business in the United States), and opened a bank account at XYZ Bank.

We now continue with the important questions …

3. What is happening to the money?

   a. I will be in possession of 165WA's $50k.

   b. We will agree that I would report periodically to the owners of 165WA about the financial status of 165WA and on what I have been doing with its money. **IMPORTANT!!! One of the first things we need is an accounting system.**

4. What accounting system could we use?

   a. At this point, 165WA needs to keep track of two things – what it has and the claims of its owners.

   b. A ***double entry*** bookkeeping system is a perfect way to do this. A double entry system uses a *mathematical identity* to keep its records. Here is the identity:

      Assets = Liabilities + Equities

   c. Balance sheet immediately after the $50k is collected and put in 165WA's bank account:

Assets	**=**	**Liabilities**	**+**	**Equities**
$50k	=	$0	+	$50k
Cash				Owners' Shares

   d. More elaborately, immediately after this transaction, we have:

165 Whitney Associates LLC Balance Sheet As of 9:15 am, Date of This Class (in thousands)			
Assets		Liabilities	
Cash	$50	None	$0
		Equity	
		Owners' Shares	$50
Total Assets	$50	Total Liabilities and Equity	$50

5. Investment Opportunities

    a. What are our investment opportunities given that we are going to invest in U.S. government securities?

6. We can go to https://home.treasury.gov, click on Data, then Daily Treasury Par Yield Curve Rates under Interest Rates to get this:

Daily Treasury Par Yield Curve Rates

Download CSV View XML feed Render XML

Show 25 entries

Date	1 Mo	1.5 Mo	2 Mo	3 Mo	4 Mo	6 Mo	1 Yr	2 Yr	3 Yr	5 Yr	7 Yr	10 Yr	20 Yr	30 Yr
01/02/2026	3.72	3.71	3.66	3.65	3.62	3.58	3.47	3.47	3.55	3.74	3.95	4.19	4.81	4.86
01/05/2026	3.71	3.68	3.64	3.64	3.61	3.57	3.47	3.46	3.53	3.71	3.92	4.17	4.79	4.85
01/06/2026	3.70	3.70	3.61	3.63	3.58	3.56	3.48	3.47	3.54	3.72	3.93	4.18	4.80	4.86
01/07/2026	3.70	3.69	3.60	3.62	3.60	3.56	3.48	3.47	3.53	3.70	3.91	4.15	4.76	4.82

7. The identity becomes:

Assets	**=**	**Liabilities**	**+**	**Equities**
($50k) Cash $50 U.S. Bonds	=	$0	+	$50k
				Owners' Shares

8. So the formal balance sheet for 165WA immediately after the bond purchase is:

165 Whitney Associates LLC Balance Sheet As of 9:45 am, Date of This Class (in thousands)			
Assets		Liabilities	
U.S. Bonds	$50	None	$0
		Equity	
		Owners' Shares	$50
Total Assets	$50	Total Liabilities and Equity	$50

Now we are going to need to track investment performance and my stewardship of 165WA's assets going forward, and our beginning with a simple accounting system will help us do that.